DBS
The Week Ahead

Forecasts, data preview, central bank watch

July 31, 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- India is expected to keep the benchmark policy rate unchanged at 5.25%.
- Indonesia 2Q GDP growth is expected to moderate to 5.3% yoy.
- Philippines 2Q GDP growth is projected to show signs of bottoming out.


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The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Aug 3 (Mon)		
Indonesia - CPI (Jul)	3.1% y/y	3.3% y/y
- exports (Jul)	0.3% y/y	-5.7% y/y
- imports	26.7% y/y	22.2% y/y
- trade balance	-USD1.0bn	-USD1.6bn
Vietnam: exports (Jul)	25.5% y/y	28.1% y/y
- imports	40.0% y/y	45.2% y/y
- trade balance	-USD2.8bn	-USD2.6bn
- retail sales YoY YTD (Jul)	13.5% y/y	12.9% y/y
- CPI (Jul)	5.0% y/y	4.7% y/y
Aug 4 (Tue)		
Hong Kong: retail sales (Jun)	8.5% y/y	7.9% y/y
South Korea: CPI (Jul)	3.3% y/y	3.2% y/y
Aug 5 (Wed)		
India: RBI repurchase rate	5.25%	5.25%
Indonesia: GDP (2Q)	5.3% y/y	5.6% y/y
Philippines: CPI (Jul)	6.5% y/y	6.4% y/y
Aug 6 (Thu)		
Taiwan: CPI (Jul)	2.5% y/y	2.6% y/y
Thailand: CPI (Jul)	3.0% y/y	2.4% y/y
Aug 7 (Fri)		
Philippines: GDP (2Q)	3.0% y/y	2.8% y/y
China: exports (Jul)	17.0% y/y	27.0% y/y
- imports	26.8% y/y	36.0% y/y
- trade balance	USD92.0bn	USD125.6bn
Taiwan: exports (Jul)	41.1% y/y	40.3% y/y
- imports	52.6% y/y	51.8% y/y
- trade balance	USD15.4bn	USD12.2bn

CENTRAL BANK MEETINGS

Reserve Bank of India policy committee (5 Aug)

The Reserve Bank of India monetary policy committee (MPC) is expected to keep the benchmark rate unchanged at 5.25% on 5 Aug. We anticipate a cautious policy statement, that underscores the need for continued vigilance on the inflation outlook, while placing greater emphasis on core inflation as a more reliable measure of underlying price pressures than headline inflation, which has been influenced by both domestic and global supply-side factors. Against this backdrop, the committee is likely to push back against market expectations of a more aggressive tightening path reflected in implied rates.

That said, the MPC is increasingly confronted by signs of a build-up in inflationary risks. Brent crude prices have risen amid renewed geopolitical tensions. Below-normal rainfall presents upside risks to food inflation, and the development of El Niño conditions could lead to higher imported agricultural commodity prices. Therefore, a more hawkish bias in policy guidance may become increasingly difficult to avoid as the real policy rate cushion narrows, inflation risks remain skewed to the upside, and the probability of GDP growth exceeding 7% in 1QFY27 increases.

For the path ahead, markets will be watchful of developments in West Asia and signs of any change in the US Federal Reserve's policy outlook in the second half of 2026. These developments will have important implications for the rupee, capital flows, and interest rate differentials. In the near term, the anticipated recovery in portfolio inflows, together with continued inflows via the swap windows, should provide a constructive backdrop for onshore markets.

FORTHCOMING DATA RELEASES

China

Exports growth is expected to moderate from 27.0% yoy in June to 17.0% in July, as renewed tensions in the Middle East weighed on external demand. High-frequency indicators suggest export momentum has eased, with total deadweight tonnage handled at China's 20 major ports slowing from 12.9% yoy in June to 12.1% in July. Meanwhile, international cargo flights declined 26.7% to an average of 9,468 per week in July, pointing to softer trade activity.

Hong Kong

Retail sales growth is expected to accelerate from 7.9% yoy in May to 8.5% in June, supported by resilient tourism activity and improving domestic consumption. Mainland visitor arrivals remained robust, growing 10.4% yoy in June. Meanwhile, the growth in residents' outbound departures eased from 8.1% yoy in May to 5.2% in June, suggesting fewer residents spending abroad and a partial shift in consumption back to the domestic market.

South Korea

July inflation data are due for release. Headline CPI is expected to remain elevated at 3.3% yoy, up slightly from 3.2% in June and well above the Bank of Korea's 2% inflation target. The rebound in global oil prices, driven by renewed tensions in the Middle East, is likely to keep imported inflationary pressures elevated. Demand-side inflation remains relatively contained, reflecting the impact of the BOK's pre-emptive monetary tightening in anchoring inflation expectations. We expect CPI inflation to remain in the 3.0–3.5% yoy range throughout 2H26, which should prompt the BOK to deliver an additional 50bps of rate hikes, taking the policy rate to 3.25% by year-end.

Taiwan

July trade and inflation data are due for release. Export growth is expected to remain strong at around 40% yoy, resulting in a robust trade surplus of USD15bn. Excluding price effects, however, export growth is likely to have moderated to around 20% yoy. We maintain our view that the AI-driven export supercycle has peaked and is transitioning toward a more normalised growth trajectory.

CPI inflation is expected to remain elevated at 2.5% yoy. The rebound in oil prices amid renewed Middle East tensions is likely to keep imported raw material costs elevated, while the severe typhoon in July is also expected to have pushed up fresh food prices. We continue to expect CPI inflation to remain in the 2.0–2.5% yoy range through 2H26, prompting the central bank to deliver a 12.5bps rate hike in 4Q26.

Indonesia and Philippines

Inflation and 2Q26 growth numbers are due in early-August. For Indonesia, we expect 2Q26 growth to moderate to 5.3% yoy from 1Q's 5.6%. Momentum at the beginning of the year was jumpstarted by religious festive spending and strong increase in public spending. Entering the second quarter, fiscal spending remained supportive, complemented by stimulus measures and the limited pass-through of elevated global energy prices to household consumption, as domestic fuel prices remained unchanged. Private sector business activity was likely impacted by Middle East hostilities, shifts in domestic policy architecture, and subdued trade sector performance.

Growth in Philippines is expected to show signs of bottoming out but remain at modest levels, with 2Q output set to register 3% yoy rise. Inflation outcomes will benefit from a temporary pullback in global energy prices, but food costs are set to turn dearer on El Nino risks in Philippines as well as Indonesia. BSP is expected to tighten policy rates, while BI will opt to keep rates on hold after back-to-back increases.

Thailand

We expect Thailand's headline inflation to accelerate to 3.0% yoy in July, the upper end of the central bank's 1-3% target range, from 2.4% yoy in June. The pickup reflected firmer food price increases amid low base effects, and higher core inflation due to the pass-through of energy costs. Energy-driven inflation likely remained elevated as global and domestic fuel prices rebounded following the escalation of tensions in the Middle East. Nonetheless, the Bank of Thailand is unlikely to rush into monetary tightening, as it looks through this supply-driven increase in inflation, balancing with concerns about uneven economic growth.

Vietnam

We expect Vietnam's goods exports to expand by 25.5% yoy in July, extending the strong growth of 28.1% yoy in June, supported by robust electronics shipments benefitting from spillovers from artificial intelligence-related demand, despite weakness in textiles, garments, and footwear exports. Retail sales likely picked up amid resilient domestic consumption and solid tourism arrivals, despite elevated inflation. We anticipate headline inflation to rise to 5.0% yoy in July from 4.7% yoy in June, driven by firmer transport price increases as global and domestic fuel prices rebounded following the escalation of tensions in the Middle East, alongside persistently elevated food inflation.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.0	0.2	0.0	1.2	1.5
HONG KONG	2.5	3.5	3.0	2.8	1.5	1.4	1.6	1.5
INDIA	6.7	7.8	6.8	6.4	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*6.5*	*7.7*	*6.8*	*6.4*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.1	5.1	2.3	1.9	3.6	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	4.3	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.1
TAIWAN	5.3	8.8	9.4	4.5	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	1.6	2.0	0.4	-0.1	2.5	1.5
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	-0.2	1.2	0.5	0.5	2.7	3.2	1.8	1.8
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	5.75	6.00	6.00	6.00	6.00	6.00	6.00
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1465	1450	1490	1505	1520	1535
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	4.16	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.45	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	29	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.41	1.45	1.50	1.55	1.75	1.75	1.75
	2Y	1.35	1.39	1.55	1.70	1.80	1.90	1.90	1.90
	10Y	2.35	2.72	2.65	2.70	2.70	2.70	2.75	2.75
	10Y-2Y	100	133	110	100	90	80	85	85
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.53	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	2.86	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	33	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.85	6.80	6.75	6.75	6.70
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	10	10	15	15	20
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.25	3.25	3.25	3.25	3.25	3.25
	10Y	3.63	3.60	3.65	3.65	3.65	3.65	3.70	3.70
	10Y-3Y	37	35	40	40	40	40	45	45
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.10	6.20	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.65	7.75	7.80	7.85	7.90	7.95
	10Y-2Y	156	82	155	155	155	155	155	160
Singapore	3M SORA OIS	1.16	1.16	1.20	1.20	1.20	1.20	1.20	1.20
	2Y	1.61	1.58	1.55	1.60	1.62	1.65	1.67	1.70
	10Y	2.29	2.04	2.20	2.20	2.25	2.25	2.30	2.30
	10Y-2Y	68	45	65	60	63	60	63	60
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.35	1.35	1.45	1.50	1.50	1.50
	10Y	2.23	2.04	2.55	2.60	2.70	2.75	2.80	2.90
	10Y-2Y	82	90	120	125	125	125	130	140
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	3.43	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.45	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	2	55	65	65	65	70	70
Korea	3M CD	2.82	2.92	3.10	3.20	3.20	3.20	3.20	3.20
	3Y	3.56	3.70	3.60	3.75	3.75	3.75	3.75	3.75
	10Y	3.88	4.07	4.20	4.25	4.25	4.25	4.25	4.25
	10Y-3Y	32	37	60	50	50	50	50	50
India	3M MIBOR	7.25	6.61	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	5.99	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.75	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	76	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

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DBS

The Week Ahead

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July 24, 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- MAS to leave policy unchanged
- BoJ to maintain pause
- A series of June trade and production data to showcase regional momentum

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KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Jul 27 (Mon)		
Singapore: MAS MPS	No change	Tightening
Singapore: Industrial production (Jun)	10.2% y/y	13.0% y/y
Hong Kong: exports (Jun)	46.8% y/y	40.8% y/y
- imports	47.4% y/y	42.0% y/y
- trade balance	-HKD89.2bn	-HKD44.2bn
Jul 28 (Tue)		
India: industrial production (Jun)	5.7% y/y	5.1% y/y
July 30 (Thu)		
US: FOMC rate decision	3.75%	3.75%
Philippines: exports (Jun)	10% y/y	7.6% y/y
- imports	14% y/y	21.9% y/y
- trade balance	-USD5.3bn	-USD5.4bn
Eurozone: GDP (2Q)	0.3% q/q	-0.2% q/q
Jul 31 (Fri)		
S Korea: industrial production (Jun)	0.5% y/y	-0.9% y/y
Japan: industrial production (Jun)	1.6% y/y	-2.1% y/y
Taiwan: GDP (2Q)	10.3% y/y	14.6% y/y
Eurozone: CPI (Jul)	2.7% y/y	2.8% y/y
Japan: BOJ target rate	1.00%	1.00%
Aug 1 (Sat)		
South Korea: exports (Jul)	66.6% y/y	70.9% y/y
- imports	28.0% y/y	30.1% y/y
- trade balance	USD31.8bn	USD36.0bn

CENTRAL BANK MEETINGS

Monetary Authority of Singapore (MAS) (July 27)

We expect MAS to leave its SGD NEER policy unchanged at its July review next week, taking a pause after April's tightening. That decision to increase the SGD NEER policy band's slope puts policy in a good position to address the Iran war-related energy price increase. We see no urgency to follow up with a tightening, as Singapore's inflation remained low relative to the official inflation forecast range, and global oil prices have eased from their peak although with upside volatility. While the MAS will remain vigilant on upside price pressures, and leave the door open for further tightening, we expect it to maintain its 2026 inflation forecasts at 1.5-2.5%. The MAS will likely assess a larger positive output gap for 2026, but the capital-intensive nature of the economic expansion contains spillovers to domestic inflation, and the Middle East uncertainty still poses downside growth risks.

Bank of Japan (31 July)

The BOJ is expected to keep the policy rate unchanged at 1.00% after delivering a 25bp rate hike at its June meeting. Market attention will focus on the updated economic projections and Governor Ueda's press conference for further clues on the policy outlook.

At its April meeting, the BOJ revised down its FY2026 GDP growth forecast to 0.5% while raising its FY2026 core CPI forecast to 2.8%, reflecting heightened uncertainty stemming from Middle East tensions. The macroeconomic backdrop has since improved. Economic growth has held up better than expected, supported by stronger semiconductor exports driven by the AI boom and robust wage growth that continues to underpin private consumption. Inflation has also evolved more favorably than anticipated, aided by government measures such as energy subsidies and the release of petroleum reserves.

Governor Ueda is likely to signal further monetary policy normalization within this year, emphasizing the resilience of wage growth and underlying inflation momentum. Recent reports suggest that the BOJ may be open to raising rates at a faster pace than currently anticipated by markets, which are pricing in a roughly once-every-six-months pace. This raises the possibility that the next rate hike could come as early as October.

FORTHCOMING DATA RELEASES

Hong Kong

Exports growth is expected to remain robust at 46.8% yoy in June, supported by continued strength in external demand. China's export growth accelerated from 19.4% yoy in May to 27% in June, driven by easing geopolitical disruptions following the Middle East ceasefire and stronger demand for AI-related electronics. Import growth is also expected to stay firm, reflecting sustained demand for intermediate and capital goods in line with resilient export orders and a gradual improvement in investment sentiment.

Singapore

We expect Singapore's industrial production (IP) growth to remain robust in June 2026, albeit moderating to 10.2% yoy from 13.0% yoy in May. The electronics cluster likely remained the primary growth driver, supported by global artificial intelligence-related tailwinds, although supply constraints prevented output growth from keeping pace with strong demand. The precision engineering cluster was also likely supportive. However, performance across manufacturing clusters remained uneven, with chemical output continuing to decline due to ongoing feedstock disruptions stemming from the flare-up in Middle East tensions, alongside weak performance in the biomedical manufacturing cluster.

South Korea

July trade data are forthcoming. Based on preliminary data for the first 20 days of the month, export growth is expected to remain strong at 67%yoy, only slightly below 70.7% in June. Higher memory chip prices, together with robust AI-driven demand, should continue to be the key drivers.

The current semiconductor super-cycle is likely approaching its peak. According to the WSTS, global semiconductor sales are projected to increase by 89.9%yoy this year before moderating to 26.6% in 2027. Memory chips are expected to remain the most volatile segment, with sales surging 249.5% this year and slowing to 32.1% next year.

Taiwan

The preliminary estimate of 2Q GDP is due for release. Economic growth is expected to moderate to 10.3% yoy from the 1Q peak of 14.5%. Export growth, measured in real terms, slowed to 24.6% yoy in 2Q from 40.9% in 1Q, reflecting moderating ICT demand, particularly from the US. Services exports, proxied by inbound tourist arrivals, also softened during the quarter amid higher international airfares driven by Middle East tensions and elevated energy prices.

On the domestic side, private consumption appears to have strengthened, supported by positive wealth effects from the stock market, a stabilizing property market, and resilient labor market conditions.

Eurozone

Eurozone GDP growth numbers for the second quarter are likely to point to an improvement, owing to the pickup in the PMI surveys, a tight labour market, and pickup in few catalysts in the core countries, especially in Germany and France. This included better momentum in industrial activity, services and construction/ real estate in France, which lifted output out of contractionary terrain and into a mild expansion. Pullback in the July inflation numbers is likely to be short-lived. The ECB is expected act on rates in September owing to pipeline inflationary concerns following a re-escalation in the Middle East tensions.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.0	0.2	0.0	1.2	1.5
HONG KONG	2.5	3.5	3.0	2.8	1.5	1.4	1.6	1.5
INDIA	6.7	7.8	6.8	6.4	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*6.5*	*7.7*	*6.8*	*6.4*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.1	5.1	2.3	1.9	3.6	2.2
MALAYSIA	5.2	5.2	5.2	4.5	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	4.3	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	3.5	2.4	2.3	2.1	2.6	2.1
TAIWAN	5.3	8.8	9.4	4.5	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	1.6	2.0	0.4	-0.1	2.5	1.5
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	-0.2	1.2	0.5	0.5	2.7	3.2	1.8	1.8
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	5.75	6.00	6.00	6.00	6.00	6.00	6.00
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1465	1450	1490	1505	1520	1535
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	4.16	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.45	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	29	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.41	1.45	1.50	1.55	1.75	1.75	1.75
	2Y	1.35	1.39	1.55	1.70	1.80	1.90	1.90	1.90
	10Y	2.35	2.72	2.65	2.70	2.70	2.70	2.75	2.75
	10Y-2Y	100	133	110	100	90	80	85	85
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.53	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	2.86	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	33	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.85	6.80	6.75	6.75	6.70
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	10	10	15	15	20
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.25	3.25	3.25	3.25	3.25	3.25
	10Y	3.63	3.60	3.65	3.65	3.65	3.65	3.70	3.70
	10Y-3Y	37	35	40	40	40	40	45	45
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.10	6.20	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.65	7.75	7.80	7.85	7.90	7.95
	10Y-2Y	156	82	155	155	155	155	155	160
Singapore	3M SORA OIS	1.16	1.16	1.20	1.20	1.20	1.20	1.20	1.20
	2Y	1.61	1.58	1.55	1.60	1.62	1.65	1.67	1.70
	10Y	2.29	2.04	2.20	2.20	2.25	2.25	2.30	2.30
	10Y-2Y	68	45	65	60	63	60	63	60
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.35	1.35	1.45	1.50	1.50	1.50
	10Y	2.23	2.04	2.55	2.60	2.70	2.75	2.80	2.90
	10Y-2Y	82	90	120	125	125	125	130	140
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	3.43	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.45	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	2	55	65	65	65	70	70
Korea	3M CD	2.82	2.92	3.10	3.20	3.20	3.20	3.20	3.20
	3Y	3.56	3.70	3.60	3.75	3.75	3.75	3.75	3.75
	10Y	3.88	4.07	4.20	4.25	4.25	4.25	4.25	4.25
	10Y-3Y	32	37	60	50	50	50	50	50
India	3M MIBOR	7.25	6.61	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	5.99	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.75	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	76	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

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DBS
The Week Ahead

Forecasts, data preview, central bank watch

July 17, 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- Indonesia is expected to raise its policy rate by 25bps to 6.0%.
- South Korea's GDP growth will likely ease to 3.6% from 3.8% in Q1.
- CPI is projected to rise in Hong Kong, Japan and Singapore.


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The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECASTS FOR THE COMING WEEK

Event	DBS	Previous
Jul 20 (Mon)		
China: 1Y loan prime rate	3.00%	3.00%
Malaysia: exports (Jun)	38.5% y/y	45.3% y/y
- imports	12.5% y/y	14.1% y/y
- trade balance	MYR41.0bn	MYR40.4bn
Jul 21 (Tue)		
Hong Kong: CPI (Jun)	2.2% y/y	2.0% y/y
Jul 22 (Wed)		
Indonesia: BI rate	6.0%	5.75%
Japan: exports (Jun)	17.7% y/y	17.0% y/y
- imports	15.3% y/y	12.5% y/y
- trade balance	JPY364.8bn	-JPY378.6bn
July 23 (Thu)		
Eurozone: ECB deposit facility rate	2.25%	2.25%
Taiwan: industrial production (Jun)	17.3% y/y	11.8% y/y
South Korea: GDP (2Q A)	3.6% y/y	3.8% y/y
Singapore: CPI (Jun)	2.0% y/y	1.8% y/y
July 24 (Fri)		
Japan: CPI (Jun)	1.7% y/y	1.5% y/y

CENTRAL BANK MEETINGS

People Bank of China (20 July)

We expect the PBOC to keep the 1Y LPR unchanged next week, as China's 1H GDP growth remains broadly in line with the government's 2026 target range of 4.5%–5.0%. While retail sales, fixed asset investment, and credit growth remained soft in June, resilient exports and stable industrial production continue to underpin overall growth. Export momentum strengthened further, supported by robust AI-related electronics demand and improving US-China trade sentiment, reducing the need for broad-based monetary easing.

At the same time, higher energy and commodity prices have lifted producer prices, limiting the scope for further rate cuts. Against this backdrop, policymakers are likely to maintain a more measured monetary policy stance while relying on targeted fiscal support, including the proposed AI infrastructure programme, to sustain growth. Additional measures to boost household consumption are also expected, in line with the government's target of raising annual retail sales to RMB60tn by 2030.

Bank Indonesia (22 July)

Bank Indonesia meets this week to decide on rates against the backdrop of a renewed escalation in West Asia tensions. We expect the policy rate to be raised by 25bp to 6.0%, which would likely mark the final hike of this cycle, as the central bank seeks to support the currency and reinforce its commitment to financial stability. Brent crude prices have rebounded by around 20% from their early July lows, weighing on risk sentiment and pushing USD/IDR back above 18,000. The rupiah continues to rank among the region's underperforming currencies. In addition to the cumulative 100bp rate increase delivered in May and June, Bank Indonesia has deployed a range of complementary measures, including maintaining attractive yield differentials through SRBIs and tightening FX purchase regulations to curb speculative activity. Beyond this week's expected hike, we anticipate BI will keep rates unchanged, with the next policy catalyst likely to come from developments in US monetary policy. Our house view is that the Federal Reserve will remain vigilant on inflation risks while keeping rates on hold, supported by contained core/ underlying price pressures.

European Central Bank (23 July)

The European Central Bank (ECB) is expected to leave the deposit facility rate unchanged in July at 2.25%. June inflation eased on a pullback in global prices, with core measures and oil futues pointing to limited spillover effects from the recent rebound in geopolitical tensions. ECB Chief Lagarde and the Governing Council are, nonetheless, likely to signal that they retain the flexibility to act if required, in essence leaving the door open to tighten rates in 3Q26. We retain our view for a 25bp hike this quarter, subject to the inflationary impact from global developments, while high frequency data signal moderation in momentum.

FORTHCOMING DATA RELEASES

Japan

June trade and inflation data are due for release. Exports are expected to maintain robust growth of nearly 18% yoy for a second consecutive month. The global AI boom continues to support Japan's manufacturing sector, particularly producers of semiconductor equipment, semiconductor materials, power semiconductors, and NAND flash memory.

CPI inflation is expected to edge up to 1.7% yoy in June from 1.5% in May. Tokyo CPI, released earlier, already pointed to firmer inflation, partly reflecting higher water utility charges following the expiration of temporary government subsidies and fee waivers.

The Bank of Japan's primary focus remains on wage-driven underlying inflation. With base wage growth holding steady at around 3% yoy for five consecutive months, the BOJ should become increasingly confident that underlying inflation is moving sustainably toward its 2% target. We continue to expect a gradual normalization path, with the policy rate rising further from 1.00% to 1.25% by 4Q26 and 1.50% by 2Q27.

South Korea

The preliminary estimate for 2Q GDP is forthcoming. On a qoq annualized basis, growth is expected to come in at 2.0%, moderating from the 7.5% surge in 1Q. On a yoy basis, growth is expected to reach 3.6%, compared with 3.8% in 1Q. Real exports maintained steady growth of around 20% yoy in 2Q, while machinery investment also continued to expand at a stable pace. Consumption indicators, however, moderated as higher energy prices and inflation weighed on household real incomes. On the supply side, services output maintained steady growth in 2Q, while construction output saw a narrowing contraction, supported by a rebound in the residential property market. Industrial production, however, slowed during the quarter.

Overall, the 2Q real GDP data may provide less optimism than the strength reflected in equity markets. The ongoing AI boom has supported South Korea’s nominal GDP growth more significantly than real GDP growth, driven by surging memory chip prices, higher overall export prices, and stronger corporate earnings.

Taiwan

June export orders and industrial production data are forthcoming. Export orders are projected to grow by 45% yoy in June, driven partly by strong global AI demand and partly by the continued rise in semiconductor prices. Industrial production, measured in real terms, is expected to grow by 17% yoy in June. By sector, ICT is likely to remain the key growth driver. Among traditional industries, the machinery sector has shown a notable pickup and is expected to sustain its momentum, while other sectors such as chemicals and textiles are likely to remain weak. Overall, growth remains robust, but the momentum appears to be near its peak; the K-shaped divergence between the tech and non-tech sectors continues to persist.

Hong Kong SAR

Headline CPI is expected to edge up from 2.0% yoy in May to 2.2% in June, driven mainly by the pass-through of higher electricity, gas and transport costs following the Middle East conflict. Underlying inflation is expected to remain stable at around 2.0% yoy, supported by improving consumption sentiment. Prices for services, durable goods, and clothing & footwear are likely to continue trending higher, underpinned by a 9.2% yoy increase in mainland visitor arrivals and a slower pace of resident departures during the month.

Malaysia

We expect Malaysia’s goods exports to grow by a strong 38.5% yoy in June 2026, although moderating from 45.3% yoy in May. Exports momentum remained firm, supported by electrical & electronics shipments, which continued to benefit from robust global demand related to artificial intelligence. However, the boost from energy shipments likely eased in June compared with the previous two months, as oil & gas prices retreated due to a reduction in the geopolitical risk premium.

Singapore

We expect Singapore’s headline inflation to edge up to 2.0% yoy in June, from 1.8% yoy in

May, with core inflation ticking up to 1.5% yoy from 1.4%. The modest increase was likely driven by faster food inflation, and the continued pass-through of energy costs to non-private transport costs. Private transport inflation also faced upward pressure from larger increases in car and motorcycle prices, although this was partly offset by lower petrol prices. Nevertheless, contained services and accommodation inflation kept both headline and core inflation broadly in check.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.0	0.2	0.0	1.2	1.5
HONG KONG	2.5	3.5	3.0	2.8	1.5	1.4	1.6	1.5
INDIA	6.7	7.8	6.8	6.4	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*6.5*	*7.7*	*6.8*	*6.4*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.1	5.1	2.3	1.9	3.6	2.2
MALAYSIA	5.2	5.2	4.7	4.2	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	4.3	3.0	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	2.6	2.0	2.3	2.1	2.6	2.1
TAIWAN	5.3	8.8	9.4	4.5	2.2	1.7	2.0	2.1
THAILAND	2.9	2.4	1.6	2.0	0.4	-0.1	2.5	1.5
VIETNAM	7.0	8.0	8.0	7.3	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	-0.2	1.2	0.5	0.5	2.7	3.2	1.8	1.8
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
INDONESIA	4.75	5.75	6.00	6.00	6.00	6.00	6.00	6.00
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
SOUTH KOREA	2.50	2.50	3.00	3.25	3.25	3.25	3.25	3.25
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.79	6.75	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.84	7.83	7.83	7.83	7.83	7.83	7.83
USD/INR	94.8	94.7	93.4	93.9	94.4	95.0	95.5	96.1
USD/IDR	17041	17907	17760	17600	17660	17730	17790	17860
USD/MYR	4.05	4.08	4.02	3.95	4.00	4.05	4.10	4.15
USD/PHP	60.7	61.3	60.4	60.6	60.7	60.9	61.1	61.3
USD/SGD	1.29	1.29	1.28	1.27	1.28	1.29	1.29	1.30
USD/KRW	1516	1549	1470	1485	1500	1515	1530	1545
USD/THB	32.6	33.2	32.7	32.0	32.5	33.0	33.5	34.0
USD/VND	26340	26310	26290	26290	26430	26570	26710	26850
AUD/USD	0.69	0.69	0.70	0.71	0.70	0.70	0.69	0.69
EUR/USD	1.16	1.14	1.15	1.17	1.16	1.15	1.14	1.13
USD/JPY	159	163	156	151	153	154	155	157
GBP/USD	1.32	1.33	1.34	1.36	1.35	1.34	1.33	1.32

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.75	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	4.16	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.45	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	29	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.41	1.45	1.50	1.55	1.75	1.75	1.75
	2Y	1.35	1.39	1.55	1.70	1.80	1.90	1.90	1.90
	10Y	2.35	2.72	2.65	2.70	2.70	2.70	2.75	2.75
	10Y-2Y	100	133	110	100	90	80	85	85
Eurozone	3M EURIBOR	2.08	2.32	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.53	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	2.86	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	33	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	6.45	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.21	6.90	6.85	6.80	6.75	6.75	6.70
	10Y	6.86	7.16	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	-5	10	10	10	15	15	20
Malaysia	3M KLIBOR	3.37	3.45	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.26	3.25	3.25	3.25	3.25	3.25	3.25
	10Y	3.63	3.60	3.65	3.65	3.65	3.65	3.70	3.70
	10Y-3Y	37	35	40	40	40	40	45	45
Philippines	3M NDF implied yield	6.09	4.94	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.08	6.10	6.20	6.25	6.30	6.35	6.35
	10Y	6.98	6.90	7.65	7.75	7.80	7.85	7.90	7.95
	10Y-2Y	156	82	155	155	155	155	155	160
Singapore	3M SORA OIS	1.16	1.16	1.20	1.20	1.20	1.20	1.20	1.20
	2Y	1.61	1.58	1.55	1.60	1.62	1.65	1.67	1.70
	10Y	2.29	2.04	2.20	2.20	2.25	2.25	2.30	2.30
	10Y-2Y	68	45	65	60	63	60	63	60
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.14	1.35	1.35	1.45	1.50	1.50	1.50
	10Y	2.23	2.04	2.55	2.60	2.70	2.75	2.80	2.90
	10Y-2Y	82	90	120	125	125	125	130	140
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.73	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	48	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.97	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	3.43	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.45	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	2	55	65	65	65	70	70
Korea	3M CD	2.82	2.92	3.10	3.20	3.20	3.20	3.20	3.20
	3Y	3.56	3.70	3.60	3.75	3.75	3.75	3.75	3.75
	10Y	3.88	4.07	4.20	4.25	4.25	4.25	4.25	4.25
	10Y-3Y	32	37	60	50	50	50	50	50
India	3M MIBOR	7.25	6.61	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	5.99	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.75	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	76	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

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